

Sample IRAC Memo

LX-004 Attachment (b) | Students — Templates

Fully Annotated | For Learning & Reference | Indian Law

This is a sample memo written for educational purposes only. The names, matter references, and analysis are fictional and illustrative. The legal analysis is based on publicly available law as of 2025. Do not rely on this for actual legal advice.

How to read this sample: Gold annotation boxes explain why each section is written the way it is. Read the memo text first, then read the annotation to understand the technique.

RESEARCH MEMORANDUM

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TO:	Ms. Kavitha Rao, Senior Associate
FROM:	Arjun Mehta, 3rd Year, B.A. LL.B. (Hons.), National Law School of India University [SAMPLE]
DATE:	15 March 2026
SUBJECT:	Whether an employer can deduct salary for unauthorised absence under the Payment of Wages Act, 1936
MATTER REF:	Internal Research — Labour & Employment Practice

1. Question Presented

[ANNOTATION: Question Presented]

State the precise legal question you were asked. It should be narrow enough to answer fully in 2–4 pages. Avoid overly broad questions like 'What are employee rights?' — that's a textbook, not a memo.

Whether, under the Payment of Wages Act, 1936 ('the Act'), an employer is legally entitled to deduct wages for days on which an employee was absent from work without authorisation, and if so, what conditions must be satisfied before making such a deduction.

2. Brief Answer

[ANNOTATION: Brief Answer]

Answer the question directly in the first sentence. Do not build up to it. Your supervisor may only have 30 seconds — give them the answer immediately, and the reason in the second sentence. If the answer is conditional, say so.

Yes, with conditions. Section 7(2)(b) of the Payment of Wages Act, 1936 expressly permits deduction from wages for absence from duty. However, such deductions are permissible only to the extent of the wages proportionate to the period of absence, and the employer must comply with

the procedural requirements under the Act and any applicable standing orders. Deductions beyond this threshold, or made without proper inquiry, are unlawful.

3. Statement of Relevant Facts

[ANNOTATION: Facts]

Include only facts that bear on the legal analysis. If a fact does not change the answer, cut it. This section should be short — 3 to 7 sentences is usually enough for an intern-level memo.

Our client, a manufacturing company operating out of Pune, employs approximately 350 workers. One of its workers, Mr. Ramesh S., was absent from work for five consecutive days without prior intimation or approval. The company seeks to deduct five days of wages from his monthly salary. The worker has contested this, claiming the deduction is unlawful. The company has not initiated a formal disciplinary inquiry, and the standing orders applicable to the establishment do not specify the procedure for absence-related deductions.

4. Analysis

[ANNOTATION: Analysis — Overview]

This is the core of the memo. Break it into sub-issues, one at a time. For each issue: state the rule, apply it to the facts, address any counter-argument, and give a sub-conclusion. Use headings. Cite everything — section numbers and case names.

Issue A: Is deduction for absence from duty permissible under the Payment of Wages Act, 1936?

[ANNOTATION: Issue A — Rule Statement]

State the exact legal rule before applying it. Quote the provision if it is short. Do not paraphrase a statute unless it is too long to quote — inaccuracy in paraphrase is a common intern mistake.

Section 7(2)(b) of the Payment of Wages Act, 1936 provides that deductions may be made from wages 'for absence from duty'. Section 9 of the Act further provides that such deduction shall not exceed the proportionate wages for the period of absence. The Act does not require a formal inquiry before making a deduction for absence — the right to deduct arises from the fact of absence itself.

In the present case, Mr. Ramesh S.'s absence is undisputed. The deduction of five days' wages is therefore permissible in principle under Section 7(2)(b), provided it does not exceed his daily wage multiplied by five.

[ANNOTATION: Application]

After stating the rule, apply it directly to your client's facts. Name the parties. Be specific. 'In this case, the employer may deduct...' is much better than 'an employer may generally deduct...'

Issue B: Are there any conditions or limitations on the deduction?

[ANNOTATION: Issue B — Counter-analysis]

A good memo anticipates the other side. If there is a limitation or risk, state it here. Your supervisor needs to know the full picture — not just the favourable parts.

While the Act permits the deduction, the following limitations apply:

1. Proportionality: Under Section 9, the deduction cannot exceed the amount of wages proportionate to the period of absence. It cannot be used as a punitive measure to deduct more than what the worker would have earned during the absent period.
2. Standing Orders: Where the Industrial Employment (Standing Orders) Act, 1946 applies — which it does to establishments with 100 or more workers — the procedure for handling unauthorised absence must follow the certified standing orders. If the standing orders require a show-cause notice or domestic inquiry before any adverse action, the employer must comply.
3. No Punitive Deduction as Substitute for Disciplinary Action: The Supreme Court has held in *Lalit Mohan Verma v. Punjab State Electricity Board* (2007) that wage deduction for absence is distinct from disciplinary action, and an employer cannot use deduction as a substitute for a proper inquiry if the worker's conduct warrants termination or other disciplinary consequences.

In the present case, since the establishment employs more than 100 workers, the Standing Orders Act applies. Counsel should review the certified standing orders applicable to this company before advising the client to proceed with the deduction. If the standing orders require a show-cause notice, the company should issue one before making the deduction to protect against a future challenge.

Issue C: Risk of Challenge — Workman's Remedies

[ANNOTATION: Issue C — Practical Risk]

Always end your analysis with the practical risk to the client. Partners want to know what can go wrong. This also demonstrates that you understand that law is not just about what is technically allowed — it is about advising the client wisely.

If the deduction is made without following the standing orders procedure, Mr. Ramesh S. may file a claim before the Authority under the Payment of Wages Act, 1936 (Section 15) for recovery of unlawfully deducted wages, along with a penalty of up to ten times the amount deducted (Section 15(3)). He may additionally file a complaint before the Labour Court under the Industrial Disputes Act, 1947 if he is a 'workman' within the meaning of that Act.

5. Conclusion

[ANNOTATION: Conclusion]

Restate the answer. Do not just say 'as discussed above'. Summarise the key points in two or three sentences. If you are recommending a course of action, state it clearly and concisely.

The employer is legally entitled to deduct wages for Mr. Ramesh S.'s five-day unauthorised absence under Section 7(2)(b) of the Payment of Wages Act, 1936, provided the deduction does not exceed the proportionate wages for the absent period. However, before effecting the deduction, the employer should review the applicable certified standing orders to confirm whether a show-cause notice or domestic inquiry is required. Counsel recommends issuing a show-cause notice to the worker as a precautionary measure, to insulate the company against any future challenge before the Payment of Wages Authority or the Labour Court.

6. Sources Cited

[ANNOTATION: Sources]

List every source you relied on. Include the database you used to find it — this allows your supervisor to verify. Cases should be cited in the standard SCC / AIR format.

#	Source	Provision / Citation	Database
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1	Payment of Wages Act, 1936	Sections 7(2)(b), 9, 15	bare act / IndiaCode.nic.in
2	Industrial Employment (Standing Orders) Act, 1946	Sections 3, 4	IndiaCode.nic.in
3	Industrial Disputes Act, 1947	Section 2(s) — definition of 'workman'	SCC Online
4	Lalit Mohan Verma v. Punjab State Electricity Board	(2007) 3 SCC 402	SCC Online

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